

Development

Social Science — Economics • Chapter 1 • Chapter Summary & Study Guide for Daksh

Ask different people what 'development' means and you'll get different answers. A landless labourer wants more wages and a steady job. A farmer wants better irrigation. A girl wants an equal share of the family's decisions. An urban worker wants cheap groceries and quick metro. Each of these is a legitimate development goal. This chapter explores how we measure development — moving from **per capita income** to broader indicators like the **Human Development Index** — and how the idea of **sustainable development** expands the question further.

What is development?

Development means different things to different people because their **life situations** differ. Goals are **different but not conflicting** — and most often, people seek a mix of:

- **Material things** — more income, food, house, clothes, electricity, vehicle.
- **Non-material things** — equal treatment, freedom, security, respect, friendship, peace.

What is good for an individual may not always be good for the country, and vice-versa. e.g. a dam may bring irrigation to many but displace some. So development is also about **balancing competing goals**.

How do we compare countries? Per capita income

The most common measure used by the World Bank: **per capita income** = total income of a country / its population. Average income is used because it tells us roughly how well-off the average citizen is.

- **High-income countries** (rich): per capita income above ~US\$ 49,300/year (2019 data; this threshold is updated).
- **Low-income countries**: per capita income below ~US\$ 2500/year.
- **Middle-income countries**: in between.
- India was classified as a **lower middle-income country**.

Limitation of average: averages hide differences. Two countries with the same per capita income may have very different distributions — one with extreme inequality, the other more equal. So average alone is not enough.

Beyond income — health, education and dignity

Public facilities like clean water, sanitation, schools, hospitals — often things money alone cannot buy — matter as much as income. People in richer states like Punjab may have higher per capita income but **Kerala**, despite having a lower per capita income, has historically had better health and education indicators — because of strong public services. So we need a wider yardstick.

Three indicators of HUMAN DEVELOPMENT INDEX (HDI), used in UNDP's annual Human Development Report:

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| 1. Life expectancy at birth | - health (long life) |
| 2. Mean years of schooling +
Expected years of schooling | - knowledge |
| 3. GNI per capita (PPP \$) | - decent standard of living |

HDI is a value between 0 and 1.
India ranks in the medium-HDI category.

Other indicators help see different facets of development:

- **Infant Mortality Rate (IMR)** — number of children that die before age 1 per 1000 live births.
- **Literacy rate** for the population 7 and above.
- **Net Attendance Ratio** — percentage of children of age 14-15 attending school.
- **Body Mass Index (BMI)**, percentage of undernourished children.

Sustainability of development

Development that uses up resources today and leaves nothing for tomorrow is **not sustainable**. Examples:

- Groundwater is being depleted in Punjab, Haryana, parts of UP — wells are going deeper every year.
- Crude oil and coal will exhaust eventually; how do we live then?
- Climate change threatens entire economies and ecosystems.
- **Sustainable development** = meeting present needs without compromising the ability of future generations to meet theirs.

Sustainability requires careful resource use, switching to renewables, conservation, recycling, and lifestyle changes. The aspiration of every region in India and every country in the world to develop must be balanced with the planet's limited carrying capacity.

★ MUST-REMEMBER POINTS

- Development goals = mix of material AND non-material; different people, different goals.
- Per capita income = total income / population. Used by World Bank to classify countries.
- Limitation: averages hide inequalities. Kerala — lower PCI but better health/education than Punjab.
- HDI uses 3 dimensions: health (life expectancy), education (schooling), income (GNI per capita PPP).
- Other indicators: IMR, literacy rate, net attendance ratio, BMI.
- Sustainable development = meet present needs without harming future generations' ability.
- Groundwater depletion in Punjab/Haryana = a sustainability red flag.

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